

LEASE AGREEMENT

AGREEMENT OF LEASE, made on February 28, 2018, between **Northeast Properties of Mpls., LLC** (a Minnesota Limited Liability company) with its principal office located at 5775 Wayzata Boulevard, Suite 620, Minneapolis, Minnesota 55416, referred to as the "Lessor," and Hurley Custom Cabinets Inc. (a Minnesota Corporation) and Mark Hurley (an individual), 1840 Pheasant Drive, Excelsior, Minnesota 55331, referred to as the "Lessee."

SECTION ONE PREMISES LEASED

Lessor leases to Lessee Suite C located at 3715 Oregon Avenue, City of Saint Louis Park, County of Hennepin and State of Minnesota. See Exhibit 1.

SECTION TWO TERM

The Lease Term shall be for three years, beginning March 1, 2018, and ending February 28, 2021.

SECTION THREE RENTAL

3.1 Lessee shall pay Lessor \$36,000.00 annual rent in year one. The rent shall be payable in equal monthly installments of \$3,000 each due in advance beginning March 1, 2018, and continuing on the first day of each subsequent month through February 1, 2019.

Lessee shall pay Lessor \$37,080.00 annual rent in year two. The rent shall be payable in equal monthly installments of \$3,090 each due in advance beginning March 1, 2019, and continuing on the first day of each subsequent month through February 1, 2020.

Lessee shall pay Lessor \$38,192.40 annual rent in year three. The rent shall be payable in equal monthly installments of \$3,182.70 each due in advance beginning March 1, 2020, and continuing on the first day of each subsequent month through February 1, 2021.

3.2 The Rental Due Date is the first day of each and every month during the Lease Term.

3.3 Lessee's check for rental shall be mailed to Lessor, or a designated depository, on or before the date the rental becomes due so the rental check reaches the Lessor on or before the Rental Due Date.

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3.4 A late fee of 5% of the monthly rental amount will be due if Lessor does not receive the monthly payment on or before the 5th of each month.

SECTION FOUR MAINTENANCE

4.1 Lessor agrees to maintain the building structure in good repair during the term of this Lease.

4.2 Lessee agrees to maintain all equipment (including furnaces and air conditioning equipment), mechanical or otherwise, now on the premises, in good repair and working order (except the building structure which shall be the responsibility of the Lessor) during the term of this Lease.

4.3 At the Lessor's sole and absolute discretion, Lessor may repair or rebuild the building structure and/or furnace if the building structure and/or furnace is damaged or destroyed in any manner not attributable to the Lessee, its employees, customers, guests, agents, or servants, or which may become worn out or unfit for use by reason of ordinary wear and tear. If the Lessor fails to make the necessary repairs or rebuild, Lessee, at its election, may either (a) terminate the Lease on 30 days' advance written Notice to Lessor, in which event the Lease shall be considered terminated at the end of the 30 day period; however, during the 30 day period, Lessee shall be required to make all rental payments and otherwise abide by the terms of this Lease, or (b) do the necessary repairing or rebuilding at the expense of Lessor but in no case in excess of the cost as given in the Repair/Rebuild Notice to Lessor, in which case Lessee shall have the right to apply accruing rentals for the purpose of reimbursing itself for repairing or rebuilding expenditures, together with interest at the prime rate per annum, but only after 30 days advance written Notice is given to the Lessor stating the Lessee's intention to repair or rebuild and the cost thereof accompanied by repair/rebuild estimates from three reputable contractors.

SECTION FIVE REMOVAL OF PROPERTY

At the end of the Lease Term or any extension or any earlier Termination Date, Lessee shall remove all fixtures, equipment and other property owned by Lessee and placed on the premises by Lessee, leave the premises in a "broom clean" condition, and leave all equipment owned by Lessor in good condition and in working order, reasonable wear and tear excepted.

SECTION SIX LESSEE'S RIGHT OF TERMINATION

6.1 Should Lessee be prevented from establishing or continuing the business of Cabinetry by statute, legal regulation, ordinance, or order of any court prohibiting such business on the premises, or in case of condemnation of the premises or a major portion of the premises for any public purpose, Lessee may terminate this Lease upon giving 30 days'

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advance written Notice to Lessor, in which event the rental obligation shall be prorated to the date of such termination provided Lessee has properly vacated the premises and removed of its property.

6.2 In case of condemnation, this Lease shall terminate as of the date the property must be vacated by the parties according to a final Order of the condemning authorities. It is also understood that Lessee shall have no right to any part of any condemnation award.

SECTION SEVEN DAMAGES FOR DEFECT OF TITLE

Lessor covenants that Lessor has good title to the premises, and the right to lease the same, and warrants and agrees to defend the title to the premises, and to reimburse and hold Lessee harmless from all damages and expenses which Lessee may suffer by reason of any restriction, encumbrance or defect in such title.

SECTION EIGHT TAXES AND ENCUMBRANCES

8.1 Lessor agrees to pay all real estate taxes and assessments on the premises as they may become due.

8.2 Lessee agrees to keep the premises free from mechanics liens and other obligations which are or may become a lien on the demised premises and improvements (except any owned by Lessee) and to fully indemnify Lessor from all claims, damages, costs, or expenses including, but not limited to, attorney's fees, by reason of any liens on the premises and improvements owned by the Lessor.

SECTION NINE INSURANCE

9.1 Lessee shall provide Lessor with a copy of its public liability & building coverage insurance policy insuring against claims for bodily and property damages by reason of Lessee's operation of the premises. The policy shall extend to all of Lessor's and Lessee's guests, invitees, customers, and others who may be on the premises during the Lease term, and for all property belonging to others than Lessor and Lessee on the premises. Lessee shall also provide Lessor with a receipt showing the policy has been paid for at least 12 months in advance. The liability insurance policy shall name the Lessor as an additional named insured and have coverage in amounts of no less than \$1,000,000.00 for bodily harm and property damage, and provide for 60 days advance written Notice of Cancellation to Lessor by the insurance carrier. Lessee shall provide the insurance policy and receipt to the Lessor at the time when this Lease Agreement is signed and on each anniversary of this Lease Agreement.

9.2 Lessee shall provide Lessor with a copy of its property damage insurance policy insuring the equipment leased to the Lessee by the Lessor, all according to the same terms, provisions, and conditions as stated in Section 9.1.

SECTION TEN UTILITIES

Lessor shall provide mains and conduits to supply water, gas, electricity, to and sanitary sewage from the Premises. The Premises shall be separately metered for gas and electricity. Lessee shall pay, when due, all charges for sewer usage or rental, garbage, disposal, refuse removal, water, electricity, gas, fuel oil, L.P. gas, telephone and/or other utility services or energy source furnished to the Premises during the term of this lease, or any renewal or extension thereof. If the lessor elects to furnish any of the foregoing utility services or other services furnished or caused to be furnished to Lessee, than the rate charged by Lessor shall not exceed the rate Lessee would be required to pay to a utility company or service company furnishing any of the foregoing utilities or services.

SECTION ELEVEN NOTICE

Any notice by Lessee to Lessor under this lease may be given by mailing same by registered or certified mail to Lessor at Lessor's address above given.

SECTION TWELVE SUCCESSORS and ASSIGNS, and NON-ASSIGNABILITY

11.1 This Lease Agreement shall be binding upon the Lessor, its successors and assigns.

11.2 This Lease Agreement shall be binding on the Lessee and his respective heirs and personal representatives.

11.3 It is understood that the Lessee shall not assign or sublet all or any portion of the premises without the prior written consent of the Lessor, which consent may be withheld in the sole and absolute discretion of the Lessor.

SECTION THIRTEEN BINDING EFFECT

This Lease Agreement contains all of the agreements made between the parties concerning the lease arrangement, and no other agreements or representations shall be enforceable unless they are put in writing and signed by both parties.

SECTION FOURTEEN HEADINGS

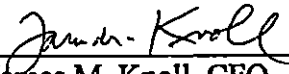
Article and Paragraph headings are for convenience only and do not define, limit, or construe the contents of this Lease Agreement.

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Each party to this Lease Agreement has caused it to be executed at Saint Louis Park, Minnesota on the date indicated below.

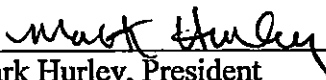
Northeast Properties of Mpls., LLC

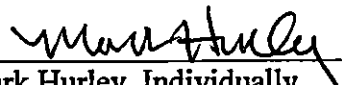
Signed on February 28, 2018


James M. Knoll, CFO

Hurley Custom Cabinets Inc.

Signed on February 21, 2018


Mark Hurley, President


Mark Hurley, Individually

Lessee acknowledges that James Knoll is a licensed Broker in the state of Minnesota.

EXHIBIT 2

PERSONAL GUARANTY

The undersigned ("Guarantor") in consideration of, and in order to induce Northeast Properties of Mpls., LLC ("Landlord") to enter into the attached Lease with Hurley Custom Cabinets, Inc. ("Tenant") does/do each hereby jointly and severally unconditionally guarantee to Landlord and Landlord's heirs, successors and assigns the payment of rent and the performance of all obligations expressed as to be performed by Tenant under the terms and provisions of the Lease, including payment of damages for any breach of the Lease, and any liability of Tenant accruing under the Lease for any period preceding as well as any period following the term of the Lease (collectively, the "Lease Obligations"). Each Guarantor's obligation under this Guaranty shall extend for six (6) months from the Lease Date, and thereafter automatically terminate.

Whether or not any existing relationship between Guarantor and Tenant has been changed or ended and whether or not this Guaranty has been revoked, Landlord may, but shall not be obligated to, enter into transactions resulting in the modification, creation or continuance of Lease Obligations, without any consent or approval by Guarantor and without any notice to Guarantor. The liability of Guarantor shall not be affected or impaired by any of the following acts or things (which Landlord is expressly authorized to do, omit or suffer from time to time, both before and after revocation of this Guaranty): (i) any one or more extensions or renewals of the Lease Obligations (whether or not for longer than the original period) or any modification of the contractual terms applicable to the Lease Obligations; (ii) any waiver on indulgence granted to Tenant, any delay or lack of diligence in the enforcement of the Lease Obligations, or any failure to institute proceedings, file a claim, give any required notices or otherwise protect any other person liable in respect of any of the Lease Obligations; (iii) the assertion by Landlord of any right or remedy available under the Lease, including without limitation the termination thereof; (iv) any full or partial release of, settlement with, or agreement not to sue, Tenant or any other guarantor or other person liable in respect of any Lease Obligations; or (v) any release or discharge of Tenant in any creditors', receivership, bankruptcy or other proceeding; the impairment, limitation or modification of any liability of Tenant or remedy against Tenant in any such proceeding; or the rejection, disaffirmance, disallowance or the like of the Lease or this Guaranty in any such proceeding.

Each Guarantor hereby waives notice of acceptance hereof, or any action taken or omitted in reliance hereof, or any default of Tenant under the Lease. Guarantor hereby further waives any requirement that Landlord first exhaust or pursue Landlord's remedies available under the Lease or any other guaranty or security for Tenant's obligations under the Lease before Landlord proceeds directly, and recovers, against the Guarantor.

Guarantor will not exercise or enforce any right of contribution, reimbursement, recourse or subrogation available to Guarantor against any person liable for payment of the Lease

Obligations, or as to any collateral security therefor, unless and until all of the Lease Obligations shall have been fully paid and discharged.

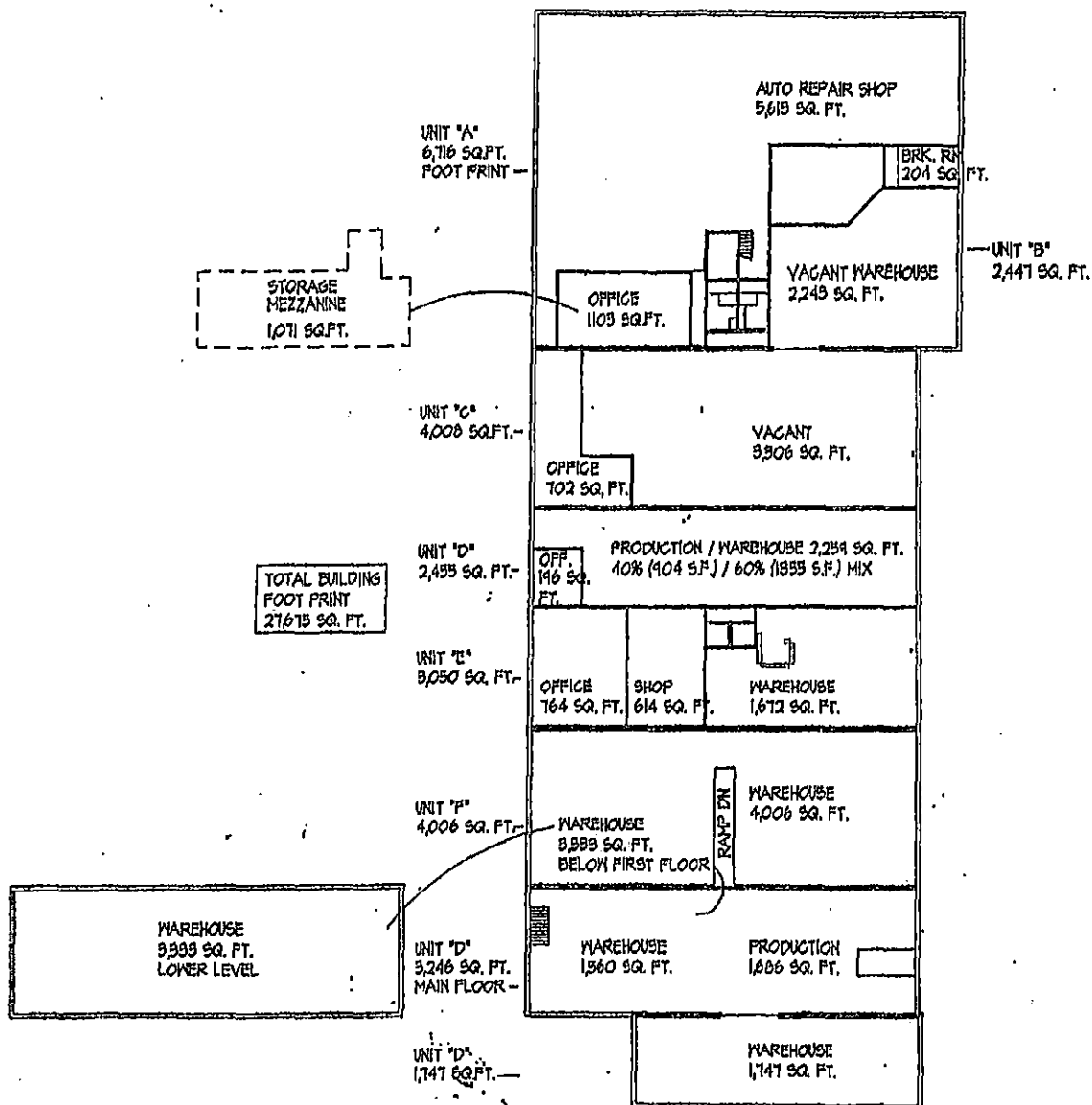
Each Guarantor jointly and severally agrees to pay all costs and expenses, including reasonable attorney's fees, incurred by Landlord in connection with the protection, defense or enforcement of this Guaranty.

Dated: FEB 28, 2018

Mark Hurley
Tenant

Mark Hurley
Signature

Exhibit 1



Building Floor Plan

NOT TO SCALE